

Prepared for:

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT



Continuing Disclosure Annual Report

For Fiscal Year Ended June 30, 2024

By:

URBAN FUTURES, INC.
Analytics & Compliance Group



Affected Issuance(s):

\$34,445,000

CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Sewer Treatment Revenue Bonds, Series 2016
(City of San Bernardino Sewer Facilities Project)

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INTRODUCTION

I. BACKGROUND

\$34,445,000 Sewer Treatment Revenue Bonds, Series 2016

On December 28, 2016, the California Municipal Finance Authority issued its \$34,445,000 Sewer Treatment Revenue Bonds, Series 2016 (City of San Bernardino Sewer Facilities Project) (“2016 Bonds”). The proceeds from the sale of the 2016 Bonds were used to: (i) finance the acquisition and construction of additional capital improvements to the sewer treatment utility (“Project”) of the City of San Bernardino Municipal Water Department (“Department”), (ii) purchase a Municipal Bond Debt Service Reserve Insurance Policy in satisfaction of the Reserve Requirement, and (iii) pay the costs of issuance of the 2016 Bonds. Please see the Official Statement for the 2016 Bonds, as provided online at the Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) document repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture.

Interest on the 2016 Bonds is payable on February 1 and August 1 of each year, commencing on February 1, 2017, with principal payments due on August 1.

II. OBJECTIVE

Pursuant to the Continuing Disclosure section of the Official Statement and Continuing Disclosure Agreement/Certificate for the Affected Issuance(s), this Annual Report is being provided by the Dissemination Agent for distribution to the MSRB’s EMMA document repository.

This Annual Report has been prepared by Urban Futures, Inc. (“UFI”) at the direction of the Department on behalf of the City of San Bernardino (“City”). The information set forth herein has been furnished by the Department, along with other sources believed to be reliable, but no representation as to the accuracy or completeness of any such information is made by the Department or UFI. The Department and UFI make no representation that this Annual Report contains all the information material to make a decision to purchase or sell bonds or any other debt obligations of the Department. Any information contained herein which involves estimates, forecasts, projections, and expressions of opinion, whether or not expressly stated, is intended solely as such and is not to be construed as representations of fact by the Department or UFI, and no representation is made that such opinions or estimates will be realized. The information, opinions, and estimates herein are subject to change without notice. The Department and UFI

shall not take responsibility for any statements or information of any kind disseminated to the MSRB or EMMA or any other medium that is not disseminated by and authorized in writing by either the Department or UFI.

III. CUSIP NUMBERS

The CUSIP numbers below are provided for convenience of reference.

California Municipal Finance Authority Sewer Treatment Revenue Bonds, Series 2016 (City of San Bernardino Sewer Facilities Project)	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2017	13050TAA6
8/1/2018	13050TAB4
8/1/2019	13050TAC2
8/1/2020	13050TAD0
8/1/2021	13050TAE8
8/1/2022	13050TAF5
8/1/2023	13050TAG3
8/1/2024	13050TAH1
8/1/2025	13050TAJ7
8/1/2026	13050TAK4
8/1/2027	13050TAL2
8/1/2028	13050TAM0
8/1/2029	13050TAN8
8/1/2030	13050TAP3
8/1/2031	13050TAQ1
8/1/2032	13050TAR9
8/1/2033	13050TAS7
8/1/2035	13050TAU2
8/1/2037	13050TAW8
8/1/2041	13050TBA5
8/1/2046	13050TBF4

*CUSIP is a registered trademark of American Bankers Association.

FINANCIAL INFORMATION & OPERATING DATA

The following financial information and operating data is provided pursuant to the Continuing Disclosure section of the Official Statement and the Continuing Disclosure Agreement/Certificate.

I. FINANCIAL STATEMENTS

As outlined in Continuing Disclosure Agreement/Certificate, the financial statements required as part of the Annual Report for the fiscal year ended June 30, 2024, are separately posted to the EMMA document repository.

II. PRINCIPAL AMOUNT OUTSTANDING

The table below presents the principal amount of the Bonds outstanding as of December 31, 2024.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Principal Amount Outstanding		
Bond Issue	Issue Amount	Amount Outstanding as of December 31, 2024
Sewer Treatment Revenue Bonds, Series 2016	\$34,445,000	\$28,930,000

Source: City of San Bernardino Municipal Water Department.

III. RESERVE FUND

In connection with the issuance of the 2016 Bonds, the Authority established the Common Reserve Account, and the 2016 Bonds were secured by the Common Reserve Account as a Common Reserve Series under the Indenture. The Common Reserve Account is funded by a Municipal Bond Debt Reserve Insurance Policy issued by Assured Guaranty Municipal Corp. ("AGM"). The table below presents the balance in the Reserve Fund as of December 31, 2024.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Reserve Fund Balance	
Bond Issue	Reserve Fund Balance as of December 31, 2024
Sewer Treatment Revenue Bonds, Series 2016	\$1,968,962

IV. TREATMENT PLANT CUSTOMERS

The table below presents a five-year historical summary of the customers of the Water Reclamation Plant.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Treatment Plant Customers Fiscal Years 2020 through 2024						
Customer Type	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	% of FY 2024
City	37,168	37,801	38,796	38,626	38,996	62.77%
EVWD	19,527	19,797	19,742	19,824	0	31.94%
Loma Linda	3,024	3,179	3,208	3,355	0	5.19%

Source: City of San Bernardino Municipal Water Department.

V. SEWAGE TREATMENT CONNECTIONS

The table below presents a five-year historical summary of the number of connections to the Sewer Treatment Enterprise.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Historical Number of Sewage Treatment Connections					
Customer Type	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
San Bernardino Residential	31,828	32,365	33,230	33,050	33,398
San Bernardino Nonresidential	5,340	5,436	5,566	5,576	5,598
EVWD Residential	18,477	18,710	18,636	18,735	0
EVWD Nonresidential	1,050	1,087	1,106	1,089	0
Loma Linda Residential	2,856	3,010	3,039	3,185	3,097
Loma Linda Nonresidential	168	169	169	170	207

Source: City of San Bernardino Municipal Water Department.

VI. SOURCES OF REVENUE

The table below presents a five-year historical summary of the sources of revenues of the Sewer Treatment Fund.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Historical Sources of Sewer Treatment Enterprise Revenues						
Customer Type	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024	% of FY
San Bernardino Residential	\$10,191,481	\$10,165,765	\$14,359,415	\$30,834,983	\$22,851,248	49.44%
San Bernardino Nonresidential	8,463,554	8,292,874	7,279,215	2,113,002	19,465,877	42.11%
EVWD Residential	4,778,152	4,797,833	5,011,215	5,003,034	0	0.00%
EVWD Nonresidential	3,483,724	3,456,827	3,805,558	3,329,085	0	0.00%
Loma Linda Residential	1,163,501	1,232,048	1,219,034	1,239,524	1,742,774	3.77%
Loma Linda Nonresidential	1,622,872	1,642,250	1,673,445	2,000,370	2,164,251	4.68%
Total	\$29,703,284	\$29,587,597	\$33,347,882	\$44,519,998	\$46,224,150	100.00%

Source: City of San Bernardino Municipal Water Department.

VII. TOP SEWAGE TREATMENT CUSTOMERS

The table below presents a summary of the ten largest customers of the Sewer Treatment Enterprise for the most recently completed Fiscal Year.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Top Ten Sewage Treatment Customers Fiscal Year 2024		
Customer	Revenues	Percent of Total
County of San Bernardino	\$ 635,350	1.37%
San Bernardino City Unified School District	405,431	0.88%
Housing Authority	240,935	0.52%
City of SB	223,242	0.48%
Saint Bernardine Hospital	204,446	0.44%
PAMA Management Co.	201,931	0.44%
SB Comm Hospital Site #373	170,538	0.37%
W. Dean Weidner	159,828	0.35%
LIDO Condominiums	159,764	0.35%
Broadstone Investors LLC	143,384	0.31%
Top Ten Customers Total	\$ 2,544,849	5.51%

Source: City of San Bernardino Municipal Water Department.

VIII. CURRENT RATES AND CHARGES

The table below presents a schedule of recent and current sewer rates charged, including the effective date of the changes, for all residential, commercial, and industrial use.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Current Sewer Rate Schedule					
Customer Class	Effective 7/1/2021	Effective 4/1/2022 ⁽¹⁾	Effective 7/1/2022	Effective 7/1/2023	Unit of Charge ⁽²⁾
Monthly Charges (San Bernardino)					
Residential	23.1	37.83	41.99	45.35	\$/Month/Account
Multi-Family (2 Units)	46.2	75.66	83.98	90.70	\$/Month/Account
Multi-Family (3 Units)	69.29	113.49	125.98	136.05	\$/Month/Account
Multi-Family, Mobile Home Parks (4 or more units)	3.52	16.56	18.38	19.85	\$/Month/Account
Non-Residential	3.52	16.56	18.38	19.85	\$/Month/Account
Industrial	1.83	16.56	18.38	19.85	\$/Month/Account
Monthly Charge (EVWD and Loma Linda)					
Residential	21.55	21.02	23.33	25.20	\$/Month/Account
Multi-Family (2 Units)	43.1	42.04	46.67	50.40	\$/Month/Account
Multi-Family (3 Units)	64.64	63.06	70	75.60	\$/Month/Account
Multi-Family (4+ Units), Mobile Home Parks	1.53	1.87	2.08	2.24	\$/hcf
Retail, Commercial, Light Industrial	2.55	1.87	2.08	2.24	\$/hcf
Auto Repair, Car Wash	1.58	1.87	2.08	2.24	\$/hcf
Offices, Motels (without Restaurants)	1.83	1.87	2.08	2.24	\$/hcf
Restaurants, Hotels	3.28	4.67	5.18	0	\$/hcf
Laundromats	1.83	1.56	2.39	2.58	\$/hcf
Hospitals, Convalescent Homes	1.63	1.87	2.08	2.24	\$/hcf
Schools, Churches, Nursery Schools	1.33	1.56	1.73	1.87	\$/hcf
Non-Residential	3.52	6	6.66	7.19	\$/Month/Account
Industrial	0.28	6	6.66	7.19	\$/Month/Account
Usage Charge (All Customers)					
Multi-Family (4+ Units), Mobile Home Parks	1.53	2.71	3.01	3.25	\$/hcf
Retail, Commercial, Light Industrial	2.55	2.71	3.01	3.25	\$/hcf
Auto Repair, Car Wash	1.58	2.71	3.01	3.25	\$/hcf
Offices, Motels (without Restaurants)	1.83	2.71	3.01	3.25	\$/hcf
Restaurants, Hotels	3.28	6.42	7.13	7.70	\$/hcf
Laundromats	1.83	2.15	2.39	2.58	\$/hcf
Hospitals, Convalescent Homes	1.63	2.71	3.01	3.25	\$/hcf
Schools, Churches, Nursery Schools	1.33	2.15	2.39	2.58	\$/hcf
Domestic Liquid Waste	0.049	0.0714	0.0793	0.0856	\$/hcf
Industrial:					
Discharge Flow	1094	1420.83	1577.12	1703.29	\$/MG
Biochemical Oxygen Demand Charge	438	648.28	719.59	777.16	\$/1,000 lbs
Suspended Solids Charge	778	648.5	719.84	777.42	\$/1,000 lbs

(1) The Sewer Collection rate was combined with the Sewer Treatment rate to become the sewer rate that was effective 04/01/2022.

(2) \$/hcf is per hundred cubic feet ("hcf"); \$/MG is per millions of gallons of flow; \$/1,000 LBS is calculated by weight in pounds of biochemical oxygen demand and suspended solids in wastewater.

Source: City of San Bernardino Municipal Water Department.

IX. RATE HISTORY

The table below presents a ten-year summary of the historical and current sewer treatment rates.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Sewage Collection Rate History & Effective Dates					
	10/1/2015	7/1/2016	7/1/2017	4/1/2022⁽¹⁾	7/1/2022⁽¹⁾
Residential (monthly per EDU)	\$20.65	\$22.38	\$23.10	\$0.00	N/A
Commercial:					
Commodity Charge (per hcf)					
Multifamily, mobile home parks	1.36	1.48	1.53	0.00	N/A
Retail, commercial, light industrial	2.28	2.47	2.55	0.00	N/A
Auto repair, car wash	1.41	1.53	1.58	0.00	N/A
Offices, motels (without restaurants)	1.63	1.77	1.83	0.00	N/A
Restaurants, hotels	2.93	3.18	3.28	0.00	N/A
Laundromats	1.63	1.77	1.83	0.00	N/A
Hospitals, convalescent homes	1.46	1.58	1.63	0.00	N/A
Schools, churches, nursery schools	1.19	1.29	1.33	0.00	N/A
Industrial:					
Discharge Flow (per million gal.)	977.00	1,060.00	1,094.00	1,094.00	N/A
Biological Oxygen demand (per 1k lbs)	391.00	424.00	438.00	438.00	N/A
Suspended Solids	694.00	753.00	778.00	778.00	N/A

(1) The Sewer Collection rate was combined with the Sewer Treatment rate to become the sewer rate that was effective 04/01/2022.

Source: City of San Bernardino Municipal Water Department.

X. CUSTOMER ACCOUNTS RECEIVABLE

The table below presents a five-year historical summary of accounts receivable and shut-offs.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Sewer Customer Accounts Receivable and Shut-Offs by Fiscal Year					
	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
Number of Accounts	59,719	60,777	61,746	61,805	42,507
Sewer Revenue ⁽¹⁾	\$30,397,092	\$30,361,116	\$34,171,160	\$45,544,260	\$47,385,433
Accounts Receivable ⁽²⁾	\$4,185,796	\$3,594,312	\$5,878,143	\$5,249,212	\$5,768,588
Accounts Receivable over 120 Days ⁽²⁾	\$430,371	\$1,145,490	\$846,558	\$1,102,712	\$1,877,774
% of Total Sewer Revenues ⁽³⁾	1.4%	3.8%	2.5%	2.4%	4.0%
Number of Shut-Offs ⁽⁴⁾⁽⁵⁾	2,596	0	607	1,702	2,109

(1) Audited.

(2) Amounts are as of June 30 and represent the receivable portion of billed customer accounts as of the end of each Fiscal Year.

(3) Percentage of Accounts Receivable over 120 days as compared to Total Sewer Revenues.

(4) Shut-Offs for non-payment may include multiple shut-offs associated with the same account throughout the Fiscal Year.

(5) Due to the COVID-19 Pandemic in the FY 2021, there were no shut-offs performed as a result of non-payment.

Source: City of San Bernardino Municipal Water Department.

XI. STATEMENT OF REVENUES, EXPENDITURES, & CHANGES IN FUND BALANCES

For the Sewer Treatment Fund Statement of Revenue, Expenditures and Changes in Fund Balance for the most recently completed Fiscal Year, please see Page 14 of the Department's audited financial statements for the fiscal year ended June 30, 2024, separately posted to the EMMA document repository.

XII. NET REVENUES & DEBT SERVICE COVERAGE

The table below presents a five-year historical summary of the revenues and expenses and debt service coverage for the Sewer Treatment Fund.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Net Revenues and Debt Service Coverage-Sewer Treatment Fund					
	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
Revenues					
Operating Revenues	\$ 30,397,092	\$ 30,361,116	\$ 34,171,160	\$ 45,544,260	\$ 47,385,433
Interest Income on Operating Funds	1,322,367	19,472	(1,021,981)	1,251,526	1,521,068
Other Non-Operating Revenues	(32,176)	(38,363)	(16,310)	(15,420)	-
Capacity Charge Revenue ⁽¹⁾	1,484,473	1,238,590	2,294,541	2,356,198	2,012,611
Total System Revenues	\$ 33,171,756	\$ 31,580,815	\$ 35,427,410	\$ 49,136,564	\$ 50,919,112
Operation and Maintenance⁽²⁾					
Enterprise Expenses ⁽²⁾	\$ 20,051,431	\$ 22,478,516	\$ 22,465,212	\$ 36,236,522	\$ 38,940,297
Total Operation and Maintenance Costs	\$ 20,051,431	\$ 22,478,516	\$ 22,465,212	\$ 36,236,522	\$ 38,940,297
Net Revenues	\$ 13,120,325	\$ 9,102,299	\$ 12,962,198	\$ 12,900,042	\$ 11,978,815
Senior Lien Debt Service	\$ 2,266,225	\$ 1,966,900	\$ 1,967,775	\$ 1,966,900	\$ 1,964,275
Subordinate Lien Debt Service	-	-	-	-	-
Total Debt Service	\$ 2,266,225	\$ 1,966,900	\$ 1,967,775	\$ 1,966,900	\$ 1,964,275
Senior Lien Debt Service Coverage	-	-	-	-	-
Total Debt Service Coverage	5.79	4.63	6.59	6.56	6.10

(1) One-time fees payable at the time of development that represent a proportionate share of the cost of sewer treatment capacity.

(2) Calculated in accordance with the Installment Purchase Agreement. Operation and Maintenance Costs exclude depreciation and amortization. Non-Operating Expenses of "Gain/Loss on Asset Disposition" and "Interest Expense and Fiscal Charges" are not included.

Source: City of San Bernardino Municipal Water Department.

XIII. SIGNIFICANT EVENTS

In compliance with the Continuing Disclosure Agreement/Certificate, material event notices are posted on the MSRB's EMMA document repository at the following web address under the "Continuing Disclosure" tab:

\$34,445,000 Sewer Treatment Revenue Bonds, Series 2016

<http://emma.msrb.org/IssueView/IssueDetails.aspx?id=EP375552>